

HEADNOTE

“In the case of multiple defendants, if one of the defendants has its residence within the territory of the Local Division seized, Article 33(1)(b) UPCA must be applied, regardless of whether the other defendants are based inside or outside the Contracting Member States or inside or outside the EU. Hence the only requirements to be met are: 1) the multiple defendants have a commercial relationship, 2) the action relates to the same alleged infringement. The requirement of a "commercial relationship" implies a "certain quality and intensity". However, to avoid multiple actions and the risk of irreconcilable decisions from separate proceedings, and to comply with the main principle of efficiency within the UPC, the interpretation of the link between the defendants should not be too narrow. The fact of belonging to the same group (legal entities) and having related commercial activities aimed at the same purpose (such as R&D, manufacturing, sale and distribution of the same products) is sufficient to be considered as "a commercial relationship" within the meaning of the Article 33(1)(b) UPCA. Keynotes: Preliminary Objection, Multiple defendants, Article 33(1)(b) UPCA, Interpretation of the meaning of "a commercial relationship".”

COURT
Local Division in Paris

PROCEEDINGS
Infringement action

PATENT
EP3000239

System and method for universal
control of electronic devices

KEYWORDS

Preliminary Objection

Multiple defendants

Article 33(1)(b) UPCA

Interpretation of the meaning of "a commer...

Article 33

Competence of the divisions of the Court of First Instance

SUMMARY

The Local Division in Paris ruled on an infringement action. The patent at issue relates to a system and method for universal control of electronic devices. According to the headnotes of the decision, when one defendant is based within the Local Division's territory, Article 33(1)(b) UPCA applies to allow the court to hear claims against multiple defendants regardless of where the other defendants are located, provided that the defendants have a commercial relationship and the action concerns the same alleged infringement. The requirement of a "commercial relationship" between defendants must demonstrate a certain quality and intensity, yet the court interprets this link flexibly to prevent fragmented proceedings and conflicting decisions across separate actions. Where multiple defendants belong to the same corporate group and conduct related commercial activities directed at the same objective, such as research and development, manufacturing, sales, and distribution of the same products, this arrangement constitutes a "commercial relationship" sufficient to satisfy Article 33(1)(b) UPCA.